

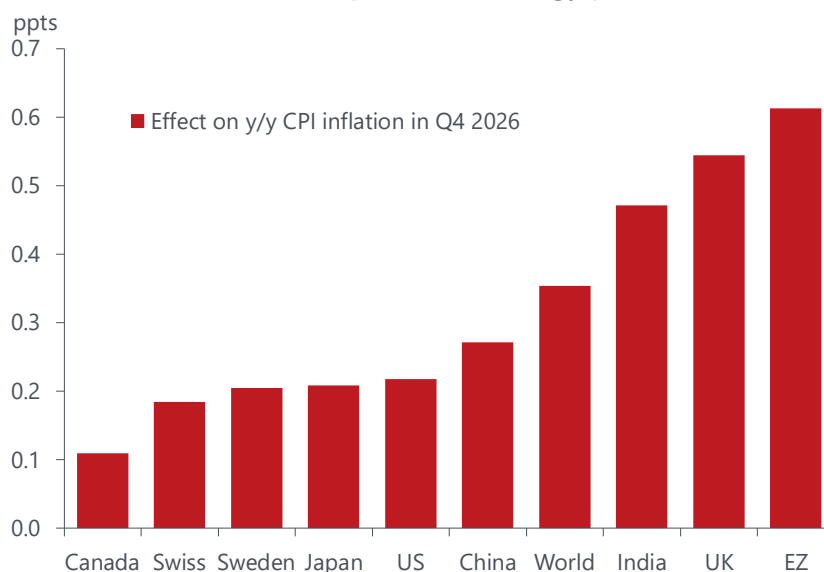
Research Briefing | Global

How will central banks respond to the Iran conflict?

- The old mantra that central banks are likely to look through the inflationary effects of energy price shocks no longer applies, at least not everywhere. The new central bank playbook is to lean against risks that energy price shocks feed through to inflation expectations, and to adopt a robust approach that seeks to avoid major policy errors in a range of plausible outcomes.
- Based on our analysis, the Eurozone and the UK are relatively vulnerable to potential second-round effects from the energy price surge triggered by the Iran conflict. The US, Japan, Canada, and smaller non-euro European economies (Sweden, Switzerland, Norway) are less exposed.
- Using our Global Economic Model, our updated energy price assumptions suggest that inflation in Q4 this year for the UK and Eurozone will be roughly 0.5ppts-0.6ppts higher than previously expected – a greater impact than elsewhere (Chart 1).
- However, the length and magnitude of the energy spike is highly uncertain. Our updated assumptions assume the energy price shock is relatively short-lived, but the effects on inflation and risks of second-round impacts will be greater if the conflict is more drawn out.
- Against this backdrop, the Bank of England's Monetary Policy Committee is likely to remain on hold for now, keeping policy in restrictive territory.
- The European Central Bank is also likely to keep rates on hold in the near-term. But with rates already at a roughly neutral level, the ECB may opt to tighten this year if the surge in energy prices persists.
- We still think the Federal Reserve is likely to ease gradually this year because at this stage the inflation effects of the energy price surge are likely to be relatively modest. That may change.

Chart 1: The effects of higher energy prices on inflation are likely to be highly uneven

Global: Effects of revised profile for energy prices



Source: Oxford Economics/Haver Analytics

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The change in central banks' reaction to energy price shocks

Until recent years, the standard approach by advanced economy central banks was to look through energy price shocks and not adjust monetary policy either way. In general, central bankers believed that an energy price spike would cause a temporary inflation blip but have no lasting effects either way. This rested on two assumptions: (1) inflation expectations were well anchored and would not respond to the initial energy-driven rise in inflation; and (2) by eroding real incomes, higher energy prices would lead to softer growth that would provide a disinflationary offset.

With these assumptions, central banks generally believed that an energy-driven inflation spike would not generate any second-round effects on pay or firms' pricing strategies. Hence, when the direct effects of higher energy prices on inflation faded after a year or so, inflation would return to target anyway, without any need for a policy adjustment. All this would happen well before the typical horizon (18-24 months) at which monetary policy has its full effects.

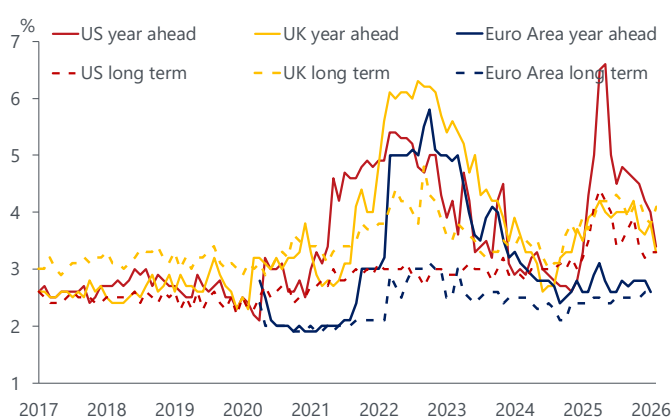
If a central bank hiked rates in response to an energy-driven rise in inflation, it would probably face a medium-term inflation undershoot as effects of that tightening came through, after inflation had already fallen back. So it would be unnecessary – and indeed counter-productive – to adjust monetary policy either way to the initial energy shock.

However, the experience of the last few years has shown that approach may no longer be valid.

- Inflation expectations are not as well anchored as central banks had hoped, and hence an energy-driven inflation surge can create persistently higher inflation. The recent inflation spike (triggered by post-pandemic supply constraints and the energy price surge of 2022-23) led to significant increases in short- and longer-term inflation expectations. These fed through to higher pay deals and shifts in firms' pricing strategies. Workers sought to recoup lost real wages and protect themselves against future price hikes, while – with inflation expectations higher – firms believed they could pass on extra costs to prices.
- In countries with sharply higher energy prices, many governments responded with fiscal loosening to cushion the adverse effect on households' real incomes and firms' profits. Hence, higher energy prices did not cause as much weakness in real activity – and resulting disinflationary pressures from higher spare capacity – as initially expected.

Chart 2: Inflation expectations have not been as well anchored as hoped in recent years

Median household inflation expectations



Sources: Oxford Economics/Haver Analytics

Hence, rather than temporary and symmetric effects on inflation and growth, the energy price surge threatened to create persistently higher inflation. Of course, in the end, this was offset by sharply higher interest rates and hawkish guidance in 2022-2024, which acted to [restrain inflation expectations directly](#), as well as dampening demand and hence increasing indirect disinflationary pressure through higher spare capacity. As risks of persistent inflation risks have receded, central banks have been able to shift back to a more neutral stance since late 2024.

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Central bankers' new playbook

The updated playbook among central banks is:

- In a world with more frequent adverse supply shocks that can cause inflation volatility, don't assume that inflation expectations are always well anchored. Instead, assume that they may well respond to an inflation shock, especially a relatively large shock.
- If there is an energy price shock, be ready to lean against risks of higher inflation expectations and persistent inflation through tougher language and tighter monetary policy (or less easing than might have been expected). Obviously, the need for such a risk management approach is greater if a rise in energy prices – and hence risks to inflation expectations – threatens to be larger or more protracted.
- Given uncertainty over the scale and persistence of any energy shock, a [robust approach for central banks](#) would be to start off by putting some weight on risks of higher inflation expectations, and then recalibrate as evidence comes through one way or the other.

Scaling the effects on growth and inflation

The scale and persistence of higher energy prices is, of course, uncertain. Our [initial assumption](#) is that Brent oil averages \$79 per barrel in Q2, \$15 above our February baseline, before easing as supply resumes by the end of the quarter. Trade rather than production disruption is the key risk: spare capacity in Saudi Arabia and the UAE can offset lost Iranian production, but alternative trade routes can reroute only around a third of normal Strait of Hormuz oil flows.

Gas markets are more exposed because buffers are weaker. Qatar, the world's second-largest LNG exporter, has no alternative route that bypasses the Strait. We therefore expect disruption to Qatari LNG exports to force Asian buyers to compete aggressively with Europe for cargoes, hindering Europe's ability to refill gas storage ahead of winter. We see this lifting TTF (the benchmark for global natural gas) and JKM (the benchmark for LNG) to around \$14/MMBtu – around 30% above our February baseline.

Based on this, simulations using our Global Economic Model suggest the energy shock will add around 0.3ppts–0.4ppts to global inflation in Q4 2026, while trimming around 0.1ppt from world GDP growth this year ([Chart 1](#)). This includes direct effects on the CPI energy components, as well as indirect effects on core inflation. The impacts are, however, uneven, depending partly on the extent to which different countries' domestic energy prices are exposed to the rise in wholesale gas prices, and the weight of energy use in each country's CPI.

The rise in inflation (and adverse effects on growth) will be greater in the Eurozone and UK, which are relatively highly exposed to wholesale gas prices, and smaller in the US, China, Japan, Norway, Sweden, and Switzerland. Note that the actual changes in our country inflation forecasts may differ slightly from this simulation, mainly because these will also take account of other developments.

There are several uncertainties. Our relative rankings would still probably be valid even if the rise in energy prices is greater or more protracted, but the effects on inflation and growth clearly would be bigger. Effects on inflation expectations may be relatively large this time, given that the memory of the recent inflation surge is still fresh. Against that, unlike 2022, some economies already have spare capacity, which will provide some disinflationary offset.

In their monetary policy decisions, central banks will try to avoid making policy decisions that could turn out to be badly wrong if things turn out differently their central forecast. Most likely, they will adopt a robust approach whereby they don't just consider which is the best approach for their central forecast, but also which approach is likely to be acceptable – or at least not terrible – under a range of plausible alternative outcomes for energy prices.

How will this affect the main central banks?

The extent to which risks of second-round effects shape the policy decisions of major central banks will depend on: the scale of the direct effects of energy prices on headline and core inflation; the extent to which this is likely to affect inflation expectations; the likelihood of offsetting fiscal measures to support economic growth; and the extent to which the current monetary policy stance is restrictive or not.

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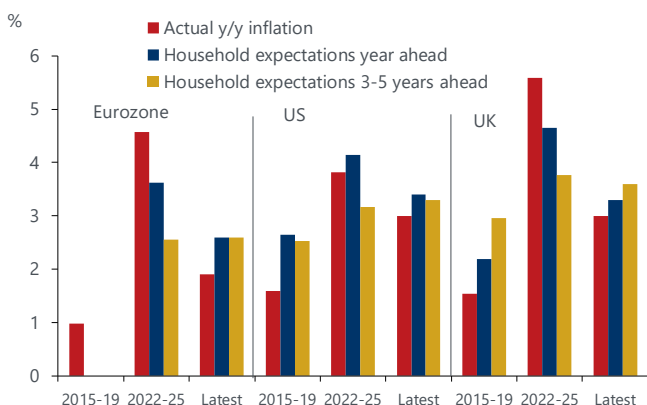
The UK and Eurozone appear relatively vulnerable on these metrics, while the US, Canada, Japan and smaller non-euro European countries (Sweden, Switzerland, Norway) are less vulnerable.

In the UK, the effect of our updated energy price assumptions on CPI inflation is relatively high, and (compared to our [previous forecast](#)) we will be lifting our CPI inflation forecast for Q4 this year by about 0.5ppts. Moreover, inflation expectations are still well above pre-pandemic levels, and the experience of recent years suggests that inflation expectations and pay deals are highly sensitive to higher CPI inflation. Indeed, [several MPC members](#) have been counting on lower headline inflation to pull inflation expectations and pay deals lower, to levels consistent with the inflation target.

Given the quarterly reset of household energy prices, the energy price surge (if it persists) won't lift household gas and electricity bills until July. But the likelihood is relatively high that a sustained energy price surge would prompt the government to provide fiscal support given that the government's popularity is low and its political strategy is heavily focussed on 'cost of living' issues and, especially, measures to lower household energy bills.

Chart 3: Household inflation expectations are more problematic in the UK than the Eurozone

US, Eurozone, UK: Inflation and inflation expectations



Source: Oxford Economics / Haver Analytics

Given uncertainties and (in line with a robust control approach of avoiding actions that could go badly wrong), the MPC is unlikely to cut rates at the upcoming March meeting. If energy prices quickly fall back, it will probably resume easing, either in April or June. Our new base case will still assume a second cut later this year. But if the surge in energy prices persists or expands, the MPC will be set for an extended pause. Given that policy remains somewhat restrictive, the Committee is unlikely to hike rates unless inflation expectations rise significantly.

The Eurozone is also relatively exposed. Like the UK, the direct effects of the rise in energy prices on CPI inflation are also likely to be relatively large. Unlike the UK, the starting points for headline inflation and inflation expectations are not a problem. However, also unlike the UK, the current policy stance is roughly neutral rather than restrictive. Our base case is still that the policy rate will stay at 2% throughout the year. But should it become clear that the energy shock will last longer alongside significant disruption to shipping routes, we wouldn't be surprised to see the ECB tighten policy by 25bps-50bps this year, to restrain inflation expectations and non-energy inflation.

The US is less vulnerable because the effect of the energy price shock on US inflation is likely to be significantly smaller than the UK and Eurozone. So far, the effects of the Iran conflict aren't sufficient for us to change our baseline forecast for monetary policy, which still assumes the Fed will cut interest rates by 25bps at both its June and September meetings.

Risks of second-round effects are relatively modest in the smaller non-euro European economies (Sweden, Norway, Switzerland) because the CPI impact in those countries is likely to be smaller as the role of energy sources other than gas is greater. So for these countries, any policy response is likely to be more limited unless forced by currency pressures.